

Do you think it is innate?

Yes, part of it is innate; there's no question about it. My goal is to one day be able to match up my trades with my sense that it's ready to happen right now and to only invest at those times. For me, mastery would be knowing that I don't have to be early, and all I have to do is wait for when I see it because I almost always see it.

If you usually see it when the time is right, why do you frequently initiate the trade before you get that feeling? Wouldn't it work out better if you waited until you had that strong conviction that now is the time, rather than anticipating the trend change before that point?

One hundred percent. No question about it. Sometimes I am the adult in the seat, and sometimes I am the child. If I am the child, he just wants to be involved. I am not a computer, and I have my flaws. Sometimes I just want to be involved, and I get in instead of waiting until I see, "Oh, there it is." It's a lack of discipline that I have been contending with my whole career. Even though my track record would indicate otherwise, I still have some lack of trust in my process. I still want to be in the market early, just in case I don't see it.

So even though you usually get a strong sense when the market is ready to move, you almost trade like you don't have that skill. Does that make sense to you?

It's worked in that I have improved my discipline. I don't allow myself to get bigger if I am wrong early. Even though I think I am right, I won't necessarily short more because it is higher. When I was younger, I would get bigger just because the market was going up. Now, I'll wait till I get that sense that the market is ready to move before I get bigger.

When did you first get interested in the stock market?

My very first influence was probably seeing the movie *Wall Street* in high school. In my senior year of high school, I worked for a stockbroker who was also the branch manager. In Williams College, I took a one-month course taught by Simon Long on trading and capital markets. Simon was trading for Bear Stearns at the time. He had a trading setup at his home, and I would go there almost every day. Simon was a really smart guy and